

**Table 48.1** Identification Guidelines

| <b>Characteristic</b> | <b>Discussion</b>                                                                                                                                                                                                                                                           |
|-----------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Appearance            | Two trendlines surrounding the price action converge, forming a small pennant shape. Price usually tilts against the flagpole trend: It rises in a downtrend and falls in an uptrend. After the pennant completes, price often resumes the price trend set by the flagpole. |
| Price trend, flagpole | Pennants can form near the midpoint of a steep, quick price trend. If you do not have a flagpole, then ignore the pennant.                                                                                                                                                  |
| Volume                | Volume usually trends downward throughout the pattern. Do not discard a pennant because it has an unusual volume trend.                                                                                                                                                     |
| Breakout direction    | Can be in any direction but often follows the flagpole trend (the pennant acts as a continuation pattern).                                                                                                                                                                  |
| Duration              | Pennants are short patterns lasting from a few days to 3 weeks. Patterns longer than 3 weeks are symmetrical triangles or wedges.                                                                                                                                           |